which can issue more shares to meet market demand, Grayscale is not able to issue more shares of GBTC to meet investor demand. Instead, the creation of new units of GBTC is entirely dependent on accredited investors being willing to sell their shares, which they can only do after one year. Furthermore, now that Grayscale has an S-1 filing under review with the SEC they are not able to create more shares of the BIT for accredited investors that would like to buy into the private placement.

Meanwhile, the price of GBTC can be bid up or down, depending on what people were willing to pay for access to these shares. The first trade for GBTC was at $44/share, and each share maps to roughly 1/10 of a bitcoin. So $44/share would imply that bitcoin was in the $440 range. Instead, at the time of the trade for $44/share, bitcoin was in the low $200s. Someone was willing to pay nearly a 100 percent premium to get access to bitcoin as an investment without having to deal with all the nitty-gritty explained in the prior chapter. Figure 15.1 shows how GBTC has differed from its net asset value (NAV) over time. (NAV is the true value of the bitcoin underlying the shares. Anytime the gray line is above the black line means that GBTC is trading at a premium to the underlying value of the shares.)